DECLASSIFIED
E. O. 11652, Sec. 3(E) and 5(D) or (E)
Dept. of State letter, ~~Aug. 9, 1973~~ 3-16-76
By NLT-MC, NARS Date 7-27-76

(Handed to Mr. Merchant by Mr. Graves 12-6-49)

~~CONFIDENTIAL~~

777/26/49

MEMORANDUM

Formosa

According to information received by His Majesty's Government substantial quantities of American military equipment are now reaching Formosa. A hundred tanks and eight B.25 bombers were recently unloaded, and it is reported that further large consignments of tanks as well as up to one hundred additional B.25 bombers are expected. Aviation spirit is included amongst other essential military supplies reported to have recently arrived in Formosa from American sources. As far as is known, many of these items seem to have been purchased by the Chinese Nationalist authorities from American surplus stores through private contracts with individual American firms, the necessary export authority having been given by the State Department.

2. During Mr. Bevin's visit to Washington in September last his advisers gained the impression, from talks with officials of the State Department, that the United States Government had concluded that no practical steps could be taken to prevent Formosa falling into Communist hands, and that such a development was in fact inevitable. For this reason the continuing supply of military equipment does raise in the mind of His Majesty's Government a doubt as to whether this course will not eventually bring about a dangerous state of affairs.

Unfortunately it is to be feared that limited support to the Chinese Nationalists in the Island will be inadequate to stop the Chinese communists from securing control,

sooner/

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sooner or later, with the serious consequence that the supplies of American arms would fall into their hands. It would seem that the loss of the Island could only be prevented if the United States Government were prepared to assume large scale and long term responsibilities for its protection, but there has been no indication that this may be expected.

3. His Majesty's Government feel much concern at the above circumstances and hope that the United States Government will feel able to take steps to stop or restrict the flow of arms from the United States to Formosa.

4. His Majesty's Government also hope that they may be kept informed of the views of the United States Government regarding the complicated situation which has arisen in Formosa.

BRITISH EMBASSY,
WASHINGTON, D.C.
6th December, 1949